

OCR AS and A Level Economics (H060, H460) Topic Questions

Question Paper

Main Topic

Macroeconomics (Component 02)

Sub-Topic

Economics Policy Objectives

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**To be used by all students and teachers for
OCR AS and A Level Economics (H060, H460)
for exams from 2025 onwards.**

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Name : _____

Date : _____

Time : _____

Total Marks Available : _____

Total Marks Received : _____

- 1(a) In 2014 a new term 'lowflation' was invented by Simon Kennedy of Bloomberg News. He defined it as a situation where prices are rising but not fast enough to provide the benefits delivered by higher inflation. A number of economists and economic institutions now use the term. The International Monetary Fund, for instance, employs the term to describe disinflation with a risk of deflation.

Lowflation may mean that inflation is below any target set by the government or central bank of a country. Table 1 shows the target rate for inflation, the inflation rate and the nominal interest rate of five countries in 2015.

Table 1 – Inflation target, inflation rate and interest rate for selected countries, 2015

Country	Inflation target (%)	Inflation rate (%)	Interest rate (%)
Mexico	3 +/- 1	2.6	6.1
Russia	4.5	15.3	10.2
South Africa	3 – 6	4.7	9.6
Turkey	5 +/- 2	7.6	11.1
UK	2 +/- 1	0.1	1.8

- The main policy tool used by central banks to keep inflation within target is the rate of interest.
- 10 In some circumstances, central banks use quantitative easing to inject money directly into the economy and to help firms find it easier and cheaper to borrow from a range of financial institutions. A possible effect of quantitative easing is to increase the amount of money in commercial banks and so banks' ability to lend. The Bank of England has also used forward guidance to influence expectations about future levels of interest rates.
- 15 As Table 1 shows the rate of inflation experienced varied between countries in 2015. A number of countries, including Japan, the UK and the USA experienced lowflation. There was concern in these countries that they might experience a deflationary spiral such as that shown in Fig. 1.

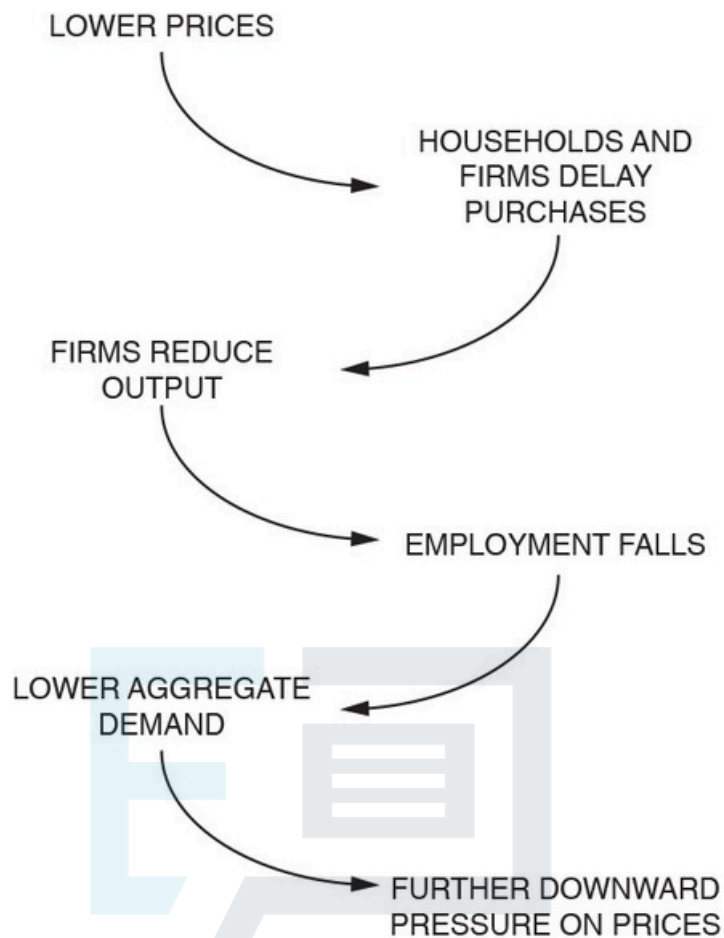


Fig. 1 – The deflationary spiral

20 Other countries experienced high inflation in 2015. A number of these were commodity exporters which were affected by the fall in the price of commodities which tend to have price inelastic demand. For instance, several oil exporting countries saw their price level rise as a result of the fall in the price of oil and the resulting impact this had on their exchange rates.

Inflation can have a number of effects on an economy. One of these is that it can redistribute income. Fig. 2 shows the Lorenz curves for three countries in 2014.

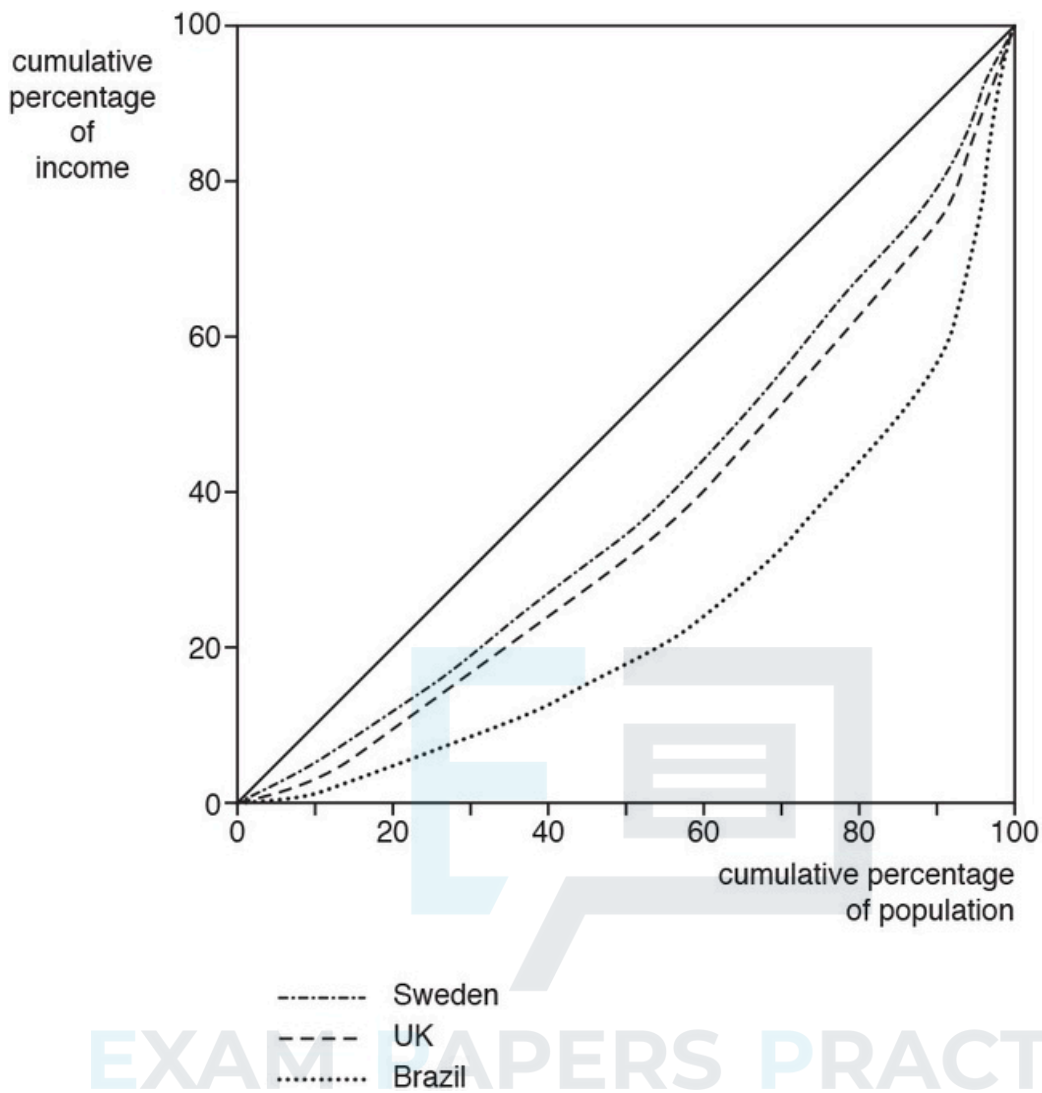


Fig. 2 – Lorenz curves for Brazil, Sweden and the UK, 2014.

Please read the extract above or refer to insert H460-02 June 2017, Lowflation, which can be downloaded separately.

Distinguish between disinflation and deflation.

[2]

(b)

(i) Using Table 1, calculate which country had the highest real interest rate in 2015.

Country _____

[1]

(ii) Using Table 1, explain which central bank would have been most likely to have engaged in quantitative easing.

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[3]



(c)

(i) Using Fig. 2, explain which country had the most even distribution of income.

Country _____

[2]

(ii) Using Fig. 2, calculate what percentage of income the second lowest 20% of income earners received in the UK. Show your workings.

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[2]

(d) Evaluate to what extent a fall in the price of oil would cause inflation in oil exporting countries.



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- 2 * At the start of 2016, Singapore had an unemployment rate of only 3.4%. This compared with an unemployment rate of 10.7% for the Eurozone.

Evaluate, with the use of an appropriate diagram(s), whether achieving full employment will always benefit an economy.



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Evaluate whether economic growth will reduce poverty.



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4 * Recorded remittances to developing economies reached \$440 billion in 2015.

Evaluate whether the receipt of remittances benefits developing economies.



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5(a)

The Icelandic economy

In the last two decades the Icelandic economy has experienced some significant changes in economic activity. One influencing factor has been changes in the standard rate of income tax. The rate was cut in a number of stages from 46% to 36% in 2006. Despite the lower income tax rate, government income tax revenue rose, allowing the government to spend more on the country's infrastructure. In 2009 and 2010 the income tax rate was increased.

In the period 2008 to 2011, the economy experienced a serious recession. The country's three largest banks were allowed to fail. It was the third largest bankruptcy in history and, according to the size of the economy, the biggest banking failure in history. The value of the country's stock market fell by 95%, the currency declined in value by 60%, unemployment increased by 8% and inflation rose to 12%.

From 2011 the economy has made a remarkable recovery. In 2014 its real GDP was US\$14.85bn and it grew by 4% in 2015, one of the fastest rates in Europe. Economists have developed an 'alphabet' of recoveries with the three most common types shown in Fig. 1.

Fig. 1 Different types of economic recovery



In 2015 the Icelandic government was paying back its loans to the International Monetary Fund early. It had removed capital controls and had reformed the country's financial sector. A number of the country's industries were expanding, most noticeably its tourist industry. Income from tourism can fluctuate significantly. In 2015 the total contribution of Iceland's tourist industry to the country's GDP was 23%. The impressive growth of Iceland's tourist industry was contributing to a fall in unemployment due to a rise in hotel construction, and an increase in infrastructure, although this was also putting pressure on house prices as people were buying them to rent out to tourists. In 2015 the unemployment rate was 5.3%, which was lower than in many European countries, but it was predicted to rise in 2016.

For a small country with a population of only 0.33 million in 2014, Iceland has a relatively high HDI value. Fig. 2 shows some details of the HDI values of six countries.

Fig. 2 The Human Development Index of six selected countries

Country	HDI ranking 2014	HDI value 2014	GNI per capita (US\$) 2014
Norway	1	0.944	64,992
Australia	2	0.935	42,261
Germany	6	0.916	43,918
USA	8	0.915	52,947
UK	14	0.907	39,267
Iceland	16	0.898	35,182

- 25 As Iceland's economy has grown, so has the country's aid for developing countries. In 2013, for instance, its foreign aid budget increased by 27.8%.

Using information from the stimulus material, including Fig. 2, calculate the difference between Iceland's real GDP per head and its GNI per capita in 2014.

[2]

(b) Using Fig. 2, explain why Australia had a higher HDI value than the USA in 2014.



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[2]

6

* Japan's macroeconomic performance in recent years has been influenced by its experience of deflation.

Evaluate, with the use of an appropriate diagram(s), whether deflation always harms a country's macroeconomic performance.



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7 Which school of macroeconomic thought became dominant as a result of the Great Depression?

- A Austrian
- B Classical
- C Keynesian
- D Monetarist

Your answer

[1]

8 Which of the following is the most likely impact of a government decision to increase the top rate of income tax and make means tested benefit more generous?

	Lorenz Curve	Gini coefficient
A	Shifts left	Decreases
B	Shifts left	Increases
C	Shifts right	Decreases
D	Shifts right	Increases

Your answer

[1]

9 Which of the following pairs of macroeconomic objectives does the Phillips Curve illustrate a trade-off between?

- A Growth and the balance of payments
- B Growth and unemployment
- C Inflation and the balance of payments
- D Unemployment and inflation

Your answer

[1]

- 10 What is the balance on the current account based on the information given about the country below?

Component	Balance (USD, millions)
Foreign direct investment	–4,015
Foreign purchases of domestic assets	–985
Secondary income (net international transfers)	158
Primary income (net investment income)	2,055
Trade in goods	
Trade in services	3,974
	–1,201

- A –\$32 million
 B \$2,773
 C million
 D \$4,001 million
 Your answer million

[1]

- 11 In February 2016 global bank HSBC announced its intentions to keep its headquarters in the UK, having considered moving them to Hong Kong. Two months later it announced a new loan scheme for small and medium sized firms including small textile firms. In which sectors of the economy do HSBC and textile firms operate?

	HSBC	Textile firms
A	Primary	Tertiary
B	Secondary	Primary
C	Secondary	Tertiary
D	Tertiary	Secondary

Your answer

[1]

12 In the UK the price level increased by 1.5% in 2014 and 0% in 2015. Which of the following terms describes what was happening between 2014 and 2015?

- A Deflation
- B Disinflation
- C Inflation
- D Hyperinflation

Your answer

[1]

13 Please refer to insert H460-03 June 2017, Housing, which can be downloaded separately and is also included with Question 31.

Economic theory would suggest there is a positive correlation between economic growth and the quality of housing. Explain whether the data in Fig. 3.1 supports this view.

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[2]



- 14 Please refer to insert H460-03 June 2017, Housing, which can be downloaded separately and is also included with Question 31.

* Using the information in Extract 3, evaluate the relationship between economic growth and economic development.



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15 Which of the following is a component of the Human Development Index?

- A Air quality
- B Cost of crime
- C Income inequality
- D Life expectancy at birth

Your answer

[1]

16 Which of the following identifies the stages of the economic cycle experienced by the UK economy between 1998 and 2016?

	1998–2007	2008–2009	2010–2014	2015–2016
A	Boom	Recession	Recovery	Slowdown
B	Recession	Recovery	Boom	Slowdown
C	Recovery	Recession	Boom	Slowdown
D	Slowdown	Recession	Recovery	Boom

Your answer

[1]

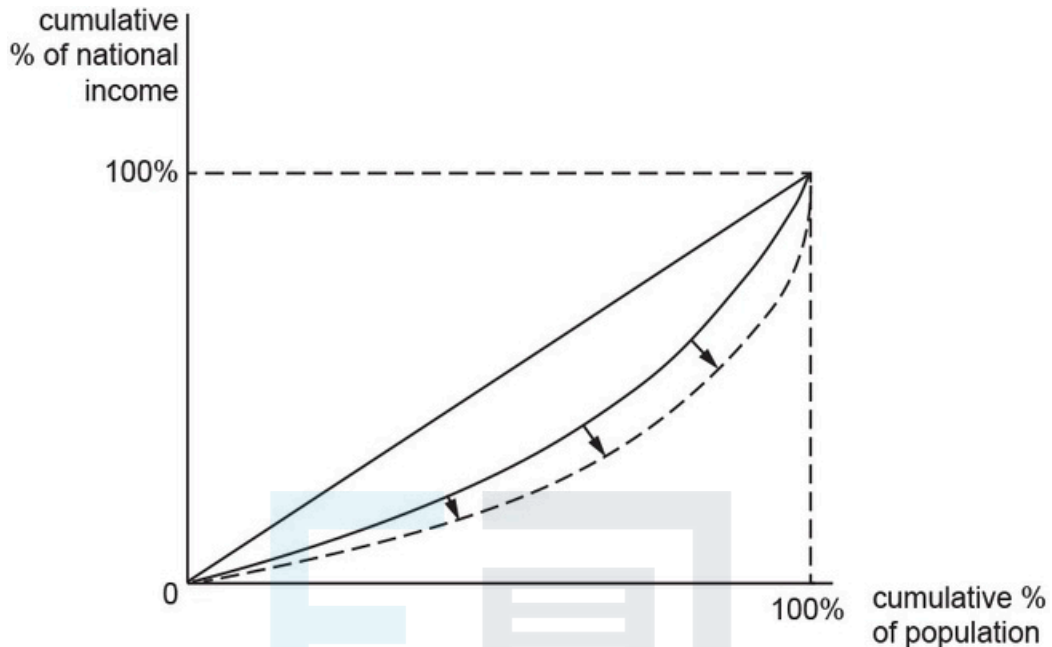
17 In which of the following cases will the natural rate of unemployment increase?

- A Regional house price differentials increase
- B The demand for labour falls
- C The school leaving age increases
- D Unemployment benefits decrease

Your answer

[1]

- 18 The initial distribution of income in a country is shown by the continuous line in the diagram. It then changes and the new distribution is shown by the dotted line. Which one of the following statements describes this change?



- A Absolute poverty has increased
- B Income inequality has increased
- C Relative poverty has decreased
- D The Gini coefficient has decreased

Your answer

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[1]

- 19 What does the environmental Kuznets curve illustrate?

- A Environmental degradation is negatively correlated with economic growth
- B Environmental degradation is positively correlated with economic growth
- C The correlation between environmental degradation and economic growth changes from negative to positive as a country develops
- D The correlation between environmental degradation and economic growth changes from positive to negative as a country develops

Your answer

[1]

- 20 A country's nominal GDP in 2013 was £800bn. The nominal growth rate in 2014 was 5%. Using the price index below, what is real GDP in 2014 at 2010 prices?

Year	2010	2011	2012	2013	2014	2015
Price index	100	105	112	116	120	127

- A £700bn
B £720bn
C £812bn
D £840bn

Your answer

[1]

- 21 Please refer to insert H460-03 June 2018, Olympic Games, which can be downloaded separately and is also included with Question 31.

Evaluate, using the information in Extract 1, whether expenditure on the Olympic Games represents sustainable investment.

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[8]

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- 22 Please refer to insert H460-03 June 2018, Olympic Games, which can be downloaded separately and is also included with Question 31.

Using Fig. 3.1, describe what happened to bicycle prices in the period 2007–2015.

[2]

Economists describe rivers as common access resources. This means that they have special characteristics. They are rival and non-excludable.

The Danube River is the second largest river basin in Europe. It is also the world's most international river basin as it flows through 11 countries, these include seven European Union (EU) member states; the two EU candidate countries, of Serbia and Montenegro plus Moldova and the Ukraine. The river basin has a large impact on all of these countries. It has been estimated that 20 million people depend directly on the Danube River for drinking water. The industrial and mining sectors, which account for over 25% of the employment and over 30% of the GDP for the 11 countries, use over 5 billion cubic metres of water every year, much of which is drawn from the river and often returned to it.

The chemical, food, and paper industries are amongst the main industrial polluters in the Danube River Basin. Discharges from these industries significantly raise the levels of pollutants in the river network. The degree of industrial development and the pollution caused by the industrial sector varies amongst the countries. The immediate environmental impacts of the inadequate treatment and storage of industrial and mining waste include water pollution and soil contamination. Other longer-term impacts may include the depletion of natural resources, landscape degradation, reductions in biodiversity and health risks.

The environmental problems associated with industrial activities and mining are mainly caused by:

- the use of outdated production technologies
- the use of harmful substances that could be substituted
- discharges of waste water into the sewerage systems without pre-treatment
- inadequate treatment facilities.

Romania, an EU member state since 2007, is one of the countries using the Danube River. The amount of water pollution it has produced over recent years is shown in Fig. 1. Biological oxygen demand (BOD) is a measurement of pollution in a sample of water – the higher the BOD, the higher the amount of pollution.

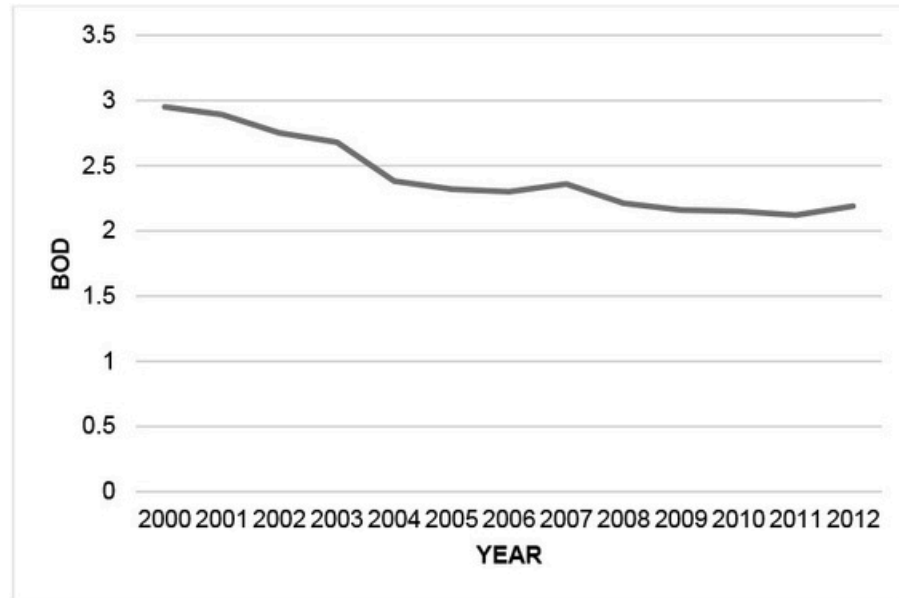


Fig.1 Water pollution in Romania 2000 to 2012.

The International Commission for the Protection of the Danube River (ICPDR) is responsible for the implementation of all aspects of the EU Water Framework Directive (WFD). The ICPDR has recommended policies to tackle the environmental problems. They believe that pollution from industry and mining can be significantly reduced through suitable investment in pollution reduction facilities. The ICPDR estimates that the necessary investments amount to 200 million Euros. The funding for such projects is provided by member states, an example of which is given in Fig.2.

Country	GDP per capita. 2013. \$	Contribution to ICPDR. 2013. Euros.
Romania	6,067	98,000
Montenegro	4,690	28,488
Moldova	1,138	11,395
Contribution from other 8 countries	N/A	1,001,651
Total		1,139,534

Fig.2 Financial contribution to ICPDR and GDP per head by selected country.

As well as this investment the ICPDR suggests that each country should introduce and enforce an appropriate legal framework including regulation and environmental standards. It is expected that this would ensure adequate management, the closure of any unacceptable sites and the construction of new environmentally friendly landfills.

*Please refer to Insert H460-01 Practice 1, which can be downloaded separately and is also included above.



The image shows a full-page view of a white sheet of paper with horizontal dashed lines for writing. In the center, there is a large, light gray watermark. At the top of the watermark is a stylized logo where a blue 'E' and a gray 'P' are intertwined within a square border. Below this logo, the words "EXAM PAPERS PRACTICE" are written in a large, bold, blue sans-serif typeface. Underneath the main title, a smaller line of text reads "©2024 Exam Papers Practice. All rights reserved." in a lighter gray font.



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[12]

- 24 * Despite decades of positive economic growth in the UK, a more equal distribution of income remains a major economic objective of the UK government.

Evaluate the effectiveness of changes in the tax and benefit system in reducing the level of income inequality in the UK.

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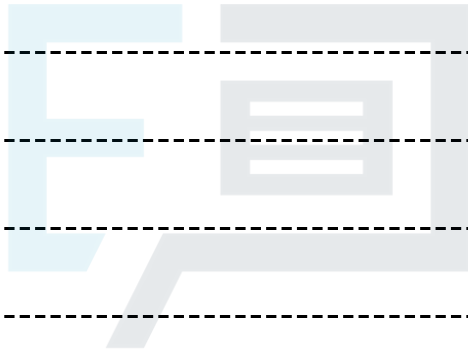


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The UK labour market has experienced both a large increase and significant changes in the past 20 years. Data published in the UK's Labour Force Survey in October 2017 shows employment continuing to rise and unemployment falling, as seen in Fig. 1.

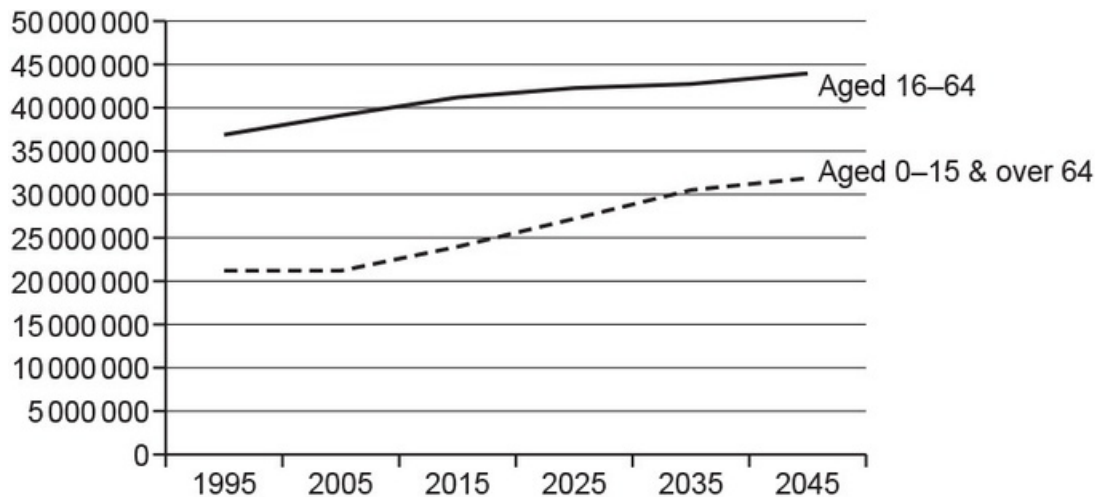
Fig. 1 – UK labour market statistics for June to August 2017

	Number (’000)	Change on previous quarter (’000)	Change on previous year (’000)
Employed	3092	109	363
Unemployed	3	–63	–224
Economically Inactive (Aged 16–64)	1418 8812	–17	–13

- The unemployment rate was at a 42-year low, although there was still some slack in the labour market. Other evidence in the October 2017 data included:
- average weekly earnings for employees increased by 2.2% in nominal terms, compared with a year earlier.
 - average weekly earnings for employees decreased by 0.3% in real terms, compared with a year earlier.
 - employment growth was strongest for those aged 25–34 years and 50–64 years.
 - employment fell among young people aged 16–24 years.
 - growth in employment over the year was greater for women (up by 246 000) than for men (up by 71 000).
 - employment growth was not equal across the country, with the biggest increases in the West Midlands, London, Scotland and the South East but large falls in the South West, East Midlands and Wales.
 - the proportion of workers in temporary jobs because a permanent one was not available was 27.6%.
 - the proportion of people working part-time because they could not find a full-time job was 12.3%.

The UK economy has created nearly 6 million new jobs in the last 20 years which was necessary given the increase in the UK population over this period (see Fig. 2). Many of these extra jobs were primarily due to an increase in self-employment and employees in part-time work.

Fig. 2 – UK population estimates 1995–2045



The 'gig economy'

Each day, just before lunch, couriers dressed in the distinctive green and black uniform of Deliveroo, the online food delivery company, arrive at the end of the street, park their bikes next to a bench and wait. Holding their smartphones, they wait for someone, somewhere in the city, to place an order with one of the nearby restaurants and cafés. When an order comes through, one of the couriers will pick it up and deliver it in exchange for a small fee. They will then return to the bench to wait for another call.

Welcome to the 'gig economy' which can be defined as, "a labour market characterised by the large number of short-term contracts or freelance work, as opposed to permanent jobs".

Plenty of people in early 21st-century Britain can identify with the experience of working for a company like Deliveroo. But even more people are employed on zero-hour contracts in a wide variety of jobs, from stacking shelves to waiting tables to caring for the elderly. According to the Office for National Statistics, around 900 000 workers rely on a job with a zero-hour contract. These people start every week not knowing how much work they will get or how much money they will earn. Informal or casual employment of this kind helps explain why the UK's unemployment rate has not grown out of control since the financial crash of 2008. This increased labour market flexibility has made it easier and less risky to employ workers, especially for monopolistically competitive firms who will expect to see a fall in their average costs.

However, opponents of the growth in casual employment, including the trade unions, claim that there are underlying problems associated with this labour model. Millions of people are "just about managing" and many are faring much worse. In the 12 months up to March 2017, the UK's largest food bank charity gave out more than one million emergency food parcels to people in desperate need. At the same time, household debt has grown to 150% of income. This debt has been fuelled by low wage growth and low interest rates which has made credit easily available. But the main issue for the estimated 8.3 million people living with unmanageable debt is needing to borrow money to survive.

It is no more than a coincidence that these concerns are happening in a year which recognises the 75th anniversary of the founding of the UK welfare state which was set up to focus on, among other issues, a problem that had grown since the early 1800s: that many workers struggled to earn regular and reliable wages throughout the entire year. However, some have come to regard the welfare state simply as a cost to be kept down rather than part of an economic and social strategy that aims to deliver security for all. Successive governments have cut benefits and altered the tax system to move the burden away from more progressive direct taxation towards more regressive indirect taxation.

Fig. 3 shows the effect on different groups of households by comparing their original income earned from employment with their final disposable income after benefits and taxation have been taken into account.

Fig. 3 – Average incomes, taxes and benefits of households by decile group, 2015/16

	Bottom	2nd	3rd	4th	5th	6th	7th	8th	9th	Top	All households
Original income	6 286	13 988	17 410	25 754	31 424	39 293	47 963	59 622	68 968	117 960	42 867
+ Total cash benefits	6 387	7 748	8 313	6 319	4 494	3 729	2 368	2 283	2 004	1 544	4 519
Gross income	12 673	21 736	25 723	32 074	35 918	43 022	50 331	61 905	70 972	119 504	47 386
– Direct taxes	1 528	2 299	3 046	4 794	5 940	7 931	10 091	13 199	15 534	29 991	9 435
Disposable income	11 145	19 437	22 677	27 280	29 978	35 091	40 239	48 706	55 438	89 513	37 951

Source: ONS

Please refer to insert H460-01 June 2019, which can be downloaded separately and is included above. Evaluate whether income inequality in the UK is a cause for concern.



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Evaluate the effectiveness of changes in the tax and benefit system in reducing the level of income inequality in the U.K.

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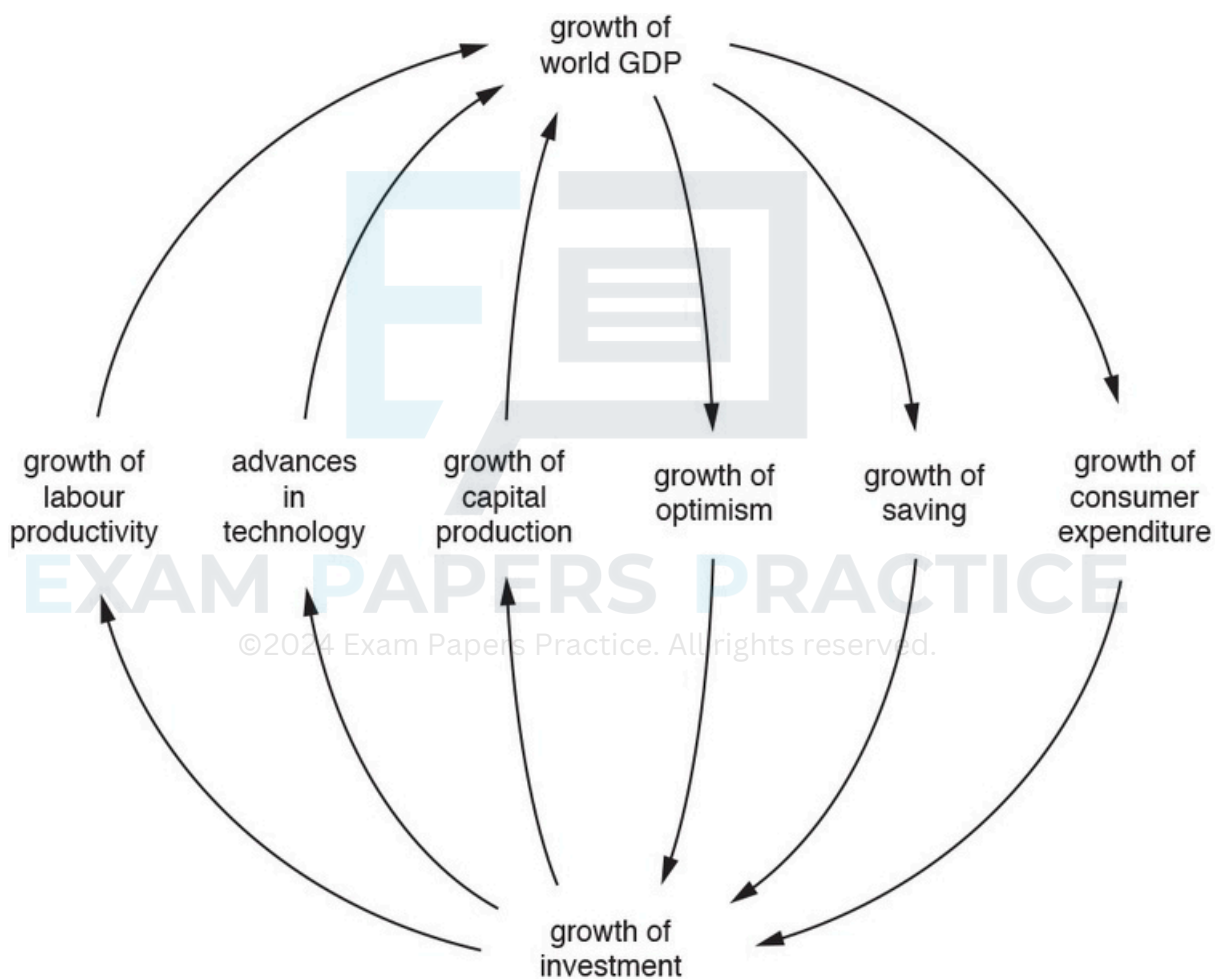
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Trade wars were threatening the process of globalisation in 2018 and were restricting the ability of countries to exploit their comparative advantage and their absolute advantage. In the years before, advances in production and communication technology had lowered production and transport costs, had increased the ability of firms to move production around the world and increased the size of firms' markets.

World trade increased by 3.2% in 2017. This contributed to a growth in world GDP. Higher GDP can result in a virtuous circle as shown in Fig. 1.

Figure 1 A virtuous circle



While the benefits of globalisation are widespread, the costs are often concentrated in particular areas and among those unskilled workers who are geographically and occupationally immobile.

- 10 One of the reasons why the US government imposed tariffs on steel imported from China was to protect the jobs of US steel workers.

Some economists are also concerned that globalisation can result in governments engaging in tax competition to keep firms and skilled workers in the country and to attract foreign MNCs and

foreign skilled workers into the country. Table 1 shows government tax revenue and expenditure
15 for selected countries in 2017.

Table 1 Government tax revenue and government expenditure 2017

Country	Government tax revenue (US\$ billion)	Government tax revenue as a % of GDP	Government expenditure (US\$ billion)
China	2672	22.4	3146
Germany	1598	43.8	1573
India	249	10.2	330
Ireland	85	26.2	87
Russia	254	17.3	288
UK USA	984	38.4	1076
	3336	22.0	3991

International competition may, on the other hand, encourage governments to spend more on education, training and health care to increase productivity and so attract foreign direct investment. Table 2 shows the corporate tax rates and the foreign direct investment attracted by the same selected countries.

Table 2 Corporate tax rates and foreign direct investment 2017

Country	Average corporate tax rate (%)	Foreign direct investment per head (US\$)
China	25.0	1098
Germany	29.8	17 963
India	34.6	287
Ireland	12.5	295 400
Russia	20.0	3378
UK USA	19.0	30 852
	40.0	12 489

20 The UK economy is more affected by changes in the global economy than the USA. This is because it is a more open economy. The UK has a relatively high marginal propensity to import. Between 2016 and 2017, average UK household income rose from £26 300 to £27 400 while average household spending on imports rose from £4950 to £5280.

The growth of the emerging economies, including China and India, is having an impact on the UK. For
25 instance, Chinese steel firms have captured some of the UK's steel industry's market at home

and abroad. Indian MNCs produced more than £26 billion of goods and services in the UK in 2016 and employed more than 100 000 workers in the UK.

Please refer to insert H460-02 June 2019 which can be downloaded separately and is also included above.

(i) Using Table 1, explain which country's government made a negative contribution to the country's aggregate demand.

[2]

(ii) Using Table 1, calculate Russia's GDP in 2017.

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[2]

28 * Cuts to welfare benefits of £2.5bn affected eleven million families in the UK in 2018.

Evaluate, with the use of an appropriate diagram(s), whether a cut in government spending on welfare benefits will increase income inequality.





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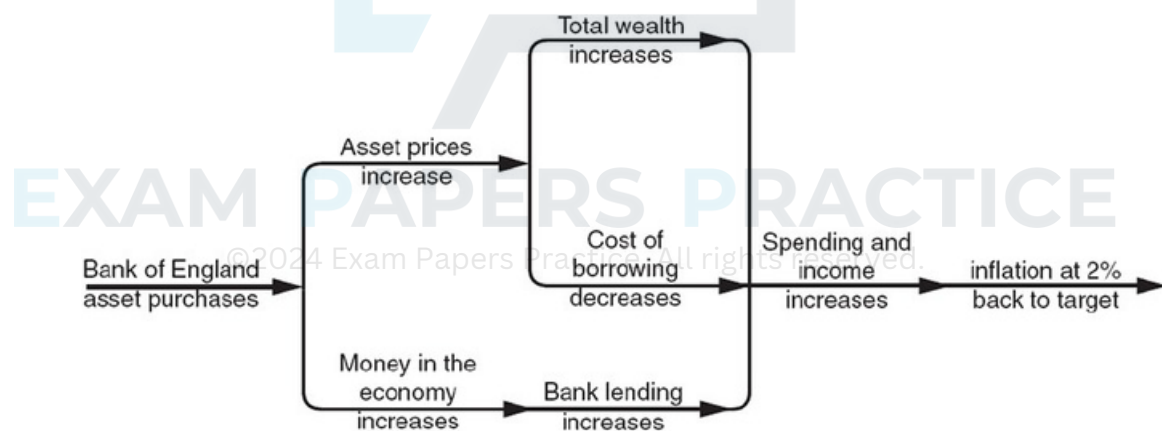
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The Fragile Five was a name invented in August 2013 by a banking analyst, James Lord, to describe Brazil, India, Indonesia, South Africa and Turkey. These emerging economies accounted for 12% of global GDP and 20% of global economic growth between 2009 and 2013. They had, however, a heavy reliance on external finance and were seen as the most susceptible to sudden changes in the direction of hot money flows. In early 2014 they had large current account deficits, slowing economic growth, inflation rates between 6% and 11% and were generally experiencing falling exchange rates.

One influence on the direction and volume of hot money flows to and from the Fragile Five is changes in the monetary policy measures of the US and UK. The US Federal Reserve Bank and the Bank of England had been using quantitative easing to increase the money supply (see Fig. 1). This monetary policy measure had been adopted because it was considered that nominal interest rates were already close to zero and that these very low interest rates were having little effect on aggregate demand. The Bank of England's monetary policy is influenced by its need to meet the government's inflation rate target.

Fig. 1 – The anticipated transmission mechanism of quantitative easing



Towards the end of 2013 and at the start of 2014 US and UK monetary policy changed. There was a reduction in the growth of the money supply in the two countries and the prospect of a rise in interest rates in the US. This led to a significant withdrawal of short term funds from the Fragile Five. In January 2014 all of the Fragile Five economies raised their interest rates to prevent an outflow of foreign funds and further falls in their currencies.

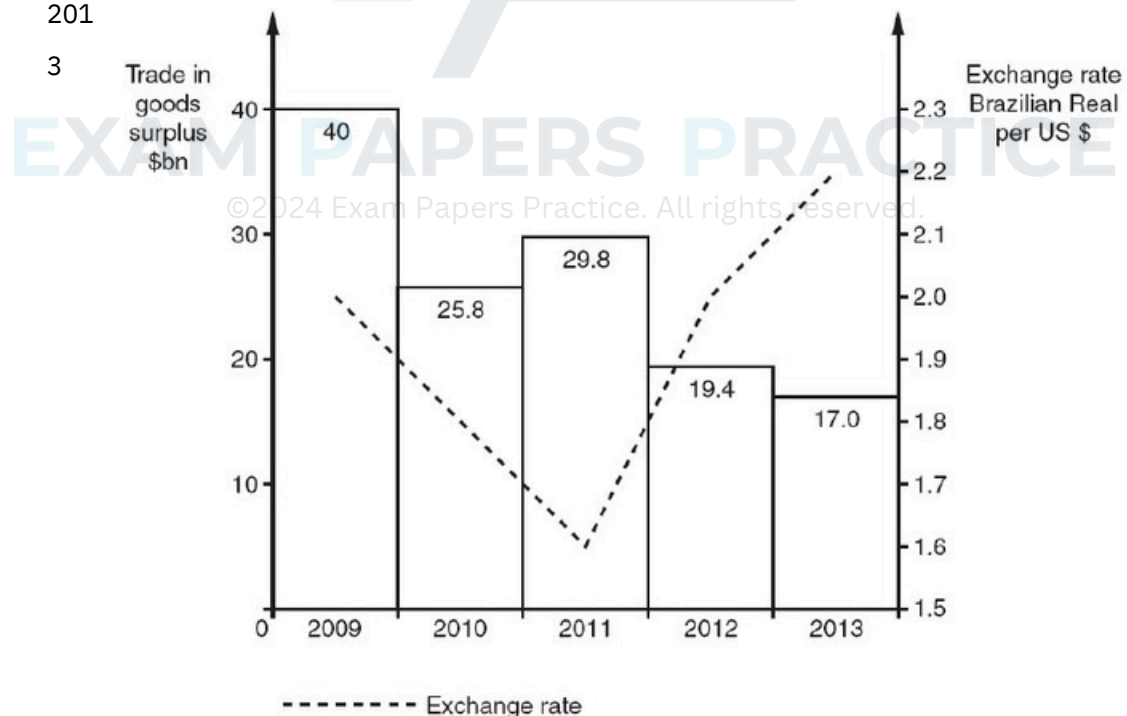
At an emergency midnight meeting the Turkish central bank raised the country's interest rate from 7.75% to 12%. Hot money flows finance more than 80% of Turkey's current account deficit. Turkey's currency, the Turkish lira, fell by 13% against the US dollar in January 2014. Table 1 provides details of changes in Turkey's export and import prices and volumes and current account position in recent years. Among these changes were that Turkey's terms of trade altered from 101 in 2011 to 98 in 2012 and 97 in 2013.

Brazil's trade balance and the value of its currency, which is called the real, also fluctuated over the period. Fig. 2 shows the change in Brazil's exchange rate against the US dollar and its trade balance between 2009 and 2013.

Table 1 – Turkey's export prices, import prices, export volumes, import volumes and current account position, 2009–13

Year	Index of export prices	Index of import prices	Index of export volumes	Index of import volumes	Balance on the current account of the balance of payments as % of GDP
2009	96	95	103	105	–2.5
2010	102	98	120	110	–8.0
2011	108	107	116	120	–10.0
2012	109	111	129	126	–7.0
2013	110	113	130	138	–5.7

Fig. 2 – Brazil's exchange rate and trade balance, 2009–13



The governments of Brazil, Turkey and the other three Fragile Five economies urged the US and the UK to continue with quantitative easing and not to raise interest rates. Janet Yellen, the Chairman of the Federal Reserve Bank, however, stated that US monetary policy will be influenced only by the US economy. This led to criticism by the governors of the central banks

of the Fragile Five economies. Raguram Rajan, India's central bank governor, argued for greater policy cooperation between developed and emerging economies. He said that, 'We
40 would like to live in a world where countries take into account the effect of their policies on other countries and do what is right broadly, rather than what is right given the circumstances of that country.'

Please refer to insert H460-02 Specimen which can be downloaded separately and is included above.

Using Fig. 2:

(i) Explain what happened to Brazil's exchange rate between 2011 and 2013.

----- [2]

(ii) Explain what effect the change in Brazil's trade in goods surplus between 2009 and 2010 would have been expected to have had on the country's exchange rate.

----- [2]



30 * The income gap between the richest 1% of US households and the other 99% of households widened to a record amount in 2012 with the top 1% receiving more than 19% of total household income.

Evaluate whether globalisation always increases income inequality in a developed economy.

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[25]

31 If a country's nominal GDP increased from \$305bn to \$321bn in a year when the inflation rate was 7.2%, what was the country's real economic growth rate?

- A -4.98%
- B -1.82%
- C 0.73%
- D 5.25%

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Your answer

[1]

32 Which of the following identifies a difference between the Labour Force Survey and claimant count measures of unemployment?

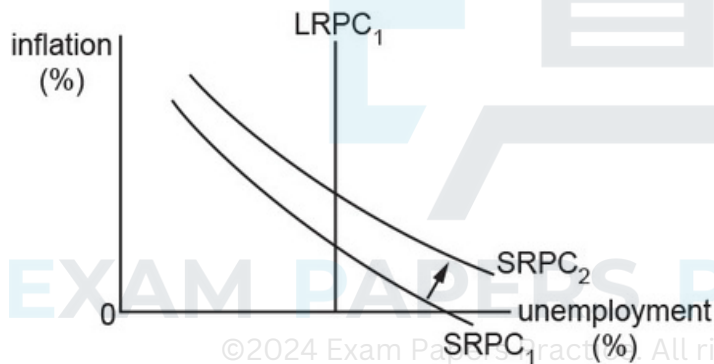
- A An individual on a government back to work training scheme is only classed as being unemployed on the Labour Force Survey measure
- B An individual who has left their job voluntarily is only classed as being unemployed on the claimant count measure
- C The claimant count is more likely to be subject to sampling errors than the Labour Force Survey
- D The Labour Force Survey measure of unemployment tends to be higher than the claimant count measure of unemployment

Your answer

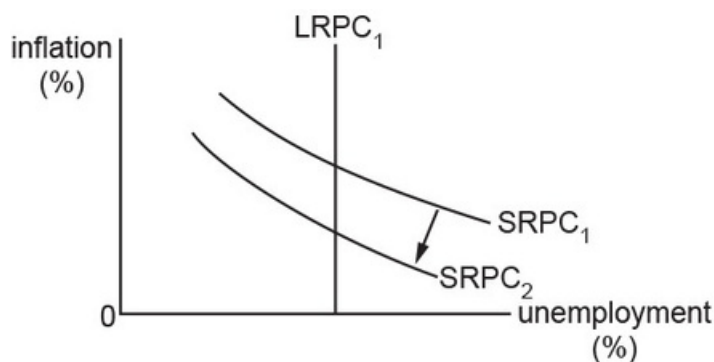
[1]

33 Which of the diagrams below illustrates the impact of a period of low and stable inflation causing inflationary expectations to fall?

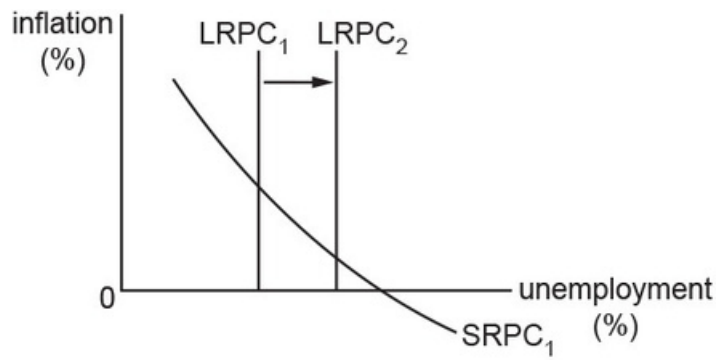
A



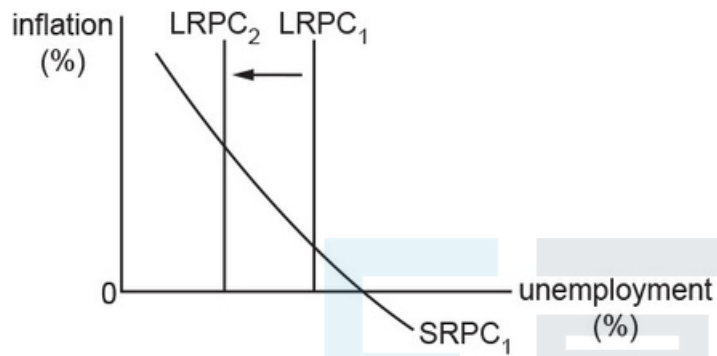
B



C



D

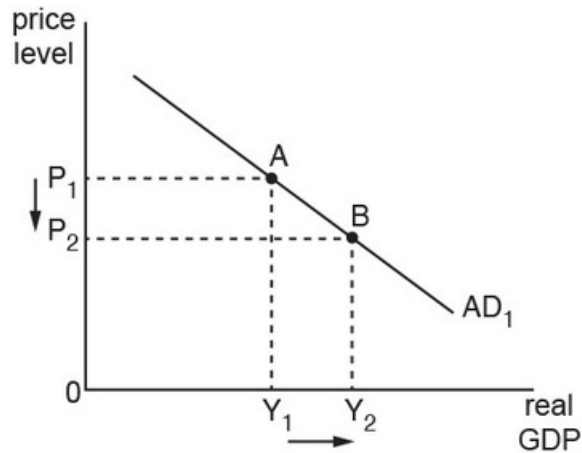


Your answer

[1]



34 What would explain the increase in real GDP illustrated in the diagram below?



- A Domestic products becoming less internationally price competitive
- B Government spending increasing
- C Households' real wealth increasing
- D Interest rates rising

Your answer

[1]

35 The data below shows an index of prices in a country between 2012 and 2016. What was the annual rate of inflation in 2016?

Year	2012	2013	2014	2015	2016
Price Index	97.2	100	105.8	110.1	115.7

- A 1.3%
- B 5.1%
- C 5.6%
- D 15.7%

Your answer

[1]

36 Which of the following is a neo-classical view of the macroeconomy?

- A An equilibrium could be reached below full employment
- B Fiscal policy can be effective in stimulating an economy
- C Output gaps can exist in the long run
- D The economy will always return to equilibrium

Your answer

☐

[1]

37 Please refer to insert H460-03 Practice 2 which can be downloaded separately and is included above with Question 27.

'Economists would generally expect there to be a positive correlation between public healthcare expenditure and GDP per capita.'

Explain why this is the case and whether the data in Fig. 2.1 supports this statement.

[4]



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40 The following table provides data on the Brazilian economy in 2015.

GDP	\$2346 billion (USD)
Labour Force	107.3 million
Population	203.6 million
Unemployment	8.6 million
Working Age Population	126.1 million

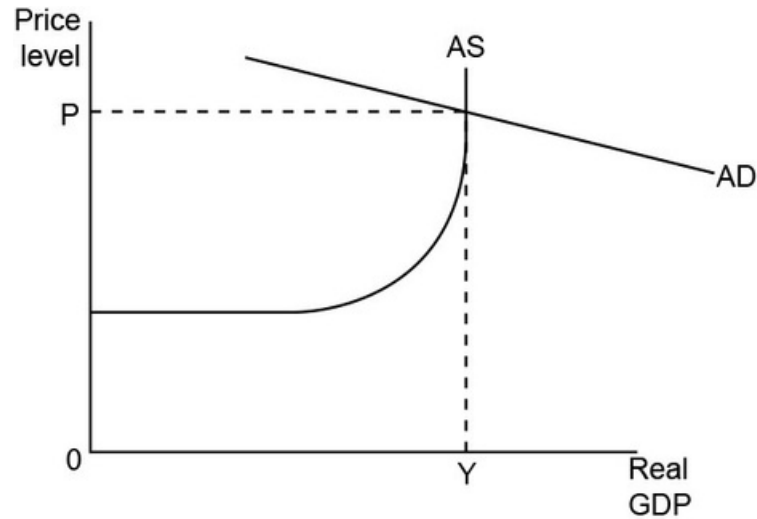
What is GDP per capita?

- A \$11,523
- B \$18,604
- C \$21,864
- D \$23,769

Your answer

[1]

41



If the macro economy is operating at output Y in the diagram, which of the following policies is likely to be the most effective method of achieving economic growth?

- A Increasing direct taxes
- B Increasing indirect taxes
- C Increasing state pensions
- D Increasing subsidies for research and development

Your answer

☐

[1]

42 Which of the following describes the situation facing an individual living in relative poverty?

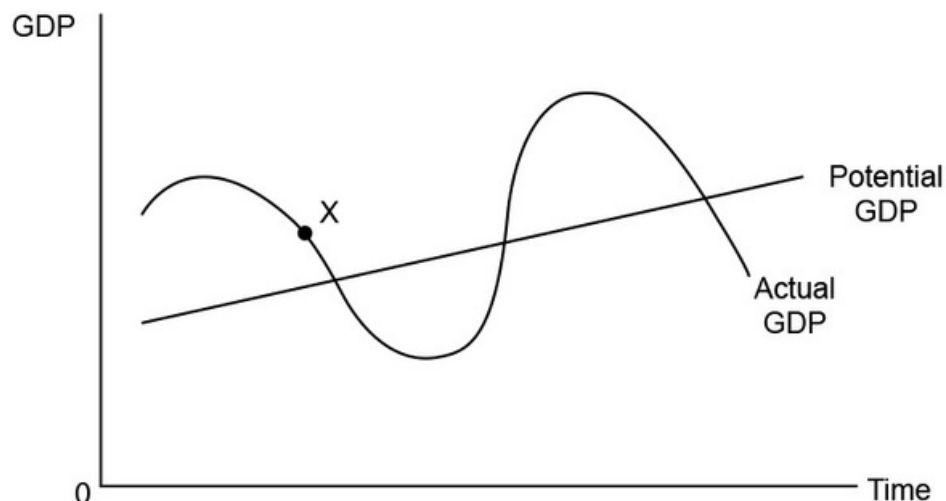
- A Living on less than 60% of median household income
- B Long term unemployed
- C Receiving less than \$1.25 a day
- D Unable to afford food, water, shelter and clothing

Your answer

☐

[1]

43



Which of the following options identifies what is happening at point X?

	Output Gap	Stage of Economic Cycle
A	Negative	Recession
B	Negative	Slowdown
C	Positive	Recession
D	Positive	Slowdown

Your answer

[1]

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44 The Consumer Price Index of a country in the years 2011-2015 is detailed below.

Year	2011	2012	2013	2014	2015
Price Index	93	98	100	107	109

The country's gross domestic product was £4,500 million in 2014 and increased by 4% in 2015. What is the country's real GDP in 2015 valued in 2014 prices?

- A £4,294 million
- B £4,590 million
- C £4,594 million
- D £4,680 million

Your answer

[1]

45 If a country's nominal GDP increased from \$305bn to \$321bn in a year when the inflation rate was 7.2%, what was the country's real economic growth rate?

- A –
- B 4.98%
- C –
- D 1.82%
- 0.73%

Your answer

[1]

46 Please refer to insert H460-03 Practice 1 which can be downloaded separately and is included above with Question 31.

Using the data from Fig. 1.1, compare what has happened to output and employment in the steel industry between 1993 and 2013.

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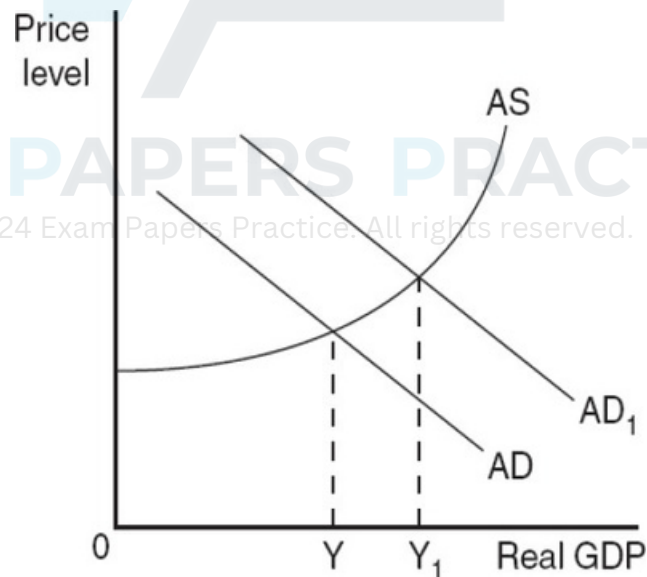
[2]

- 47 Please refer to insert H460-03 Practice 1 which can be downloaded separately and is included above with Question 31.

Identify and explain evidence from Fig. 3.2 of the type of unemployment that is most likely to arise from the changes that have taken place in the labour market between 1990 and 2015.

[2]

- 48 In the diagram below, which of the following would have caused the rise in real GDP from Y to Y₁?



- A A decrease in the average propensity to consume
- B A decrease in the marginal propensity to save
- C An increase in the marginal propensity to import
- D An increase in the marginal rate of tax

Your answer

[1]

49 A country is faced with a surplus in the current account of its balance of payments and unemployment.

Which of the following would reduce both of these problems?

- A A decrease in its government spending on education
- B A decrease in its interest rates
- C An increase in its rate of corporation tax
- D An increase in the value of its currency

Your answer

[1]

50 Which of the following is a reason why economists criticise the traditional Phillips Curve as a tool for explaining the relationship between macroeconomic variables?

- A Individuals adapt their expectations of inflation as the price level changes.
- B Individuals suffer from money illusion so believe prices are stable when they are not.
- C It assumes that real wages rather than money wages are an indicator of inflation.
- D There is a trade-off between inflation and unemployment in the short run.

Your answer

[1]

51 The information in the table below shows the price index in the years 2008 and 2014 in four countries.

In which country was the inflation rate highest between 2008 and 2014?

Country	2008 price index (2005=100)	2014 price index (2005=100)
A	104	153
B	112	230
C	105	210
D	140	260

Your answer

[1]

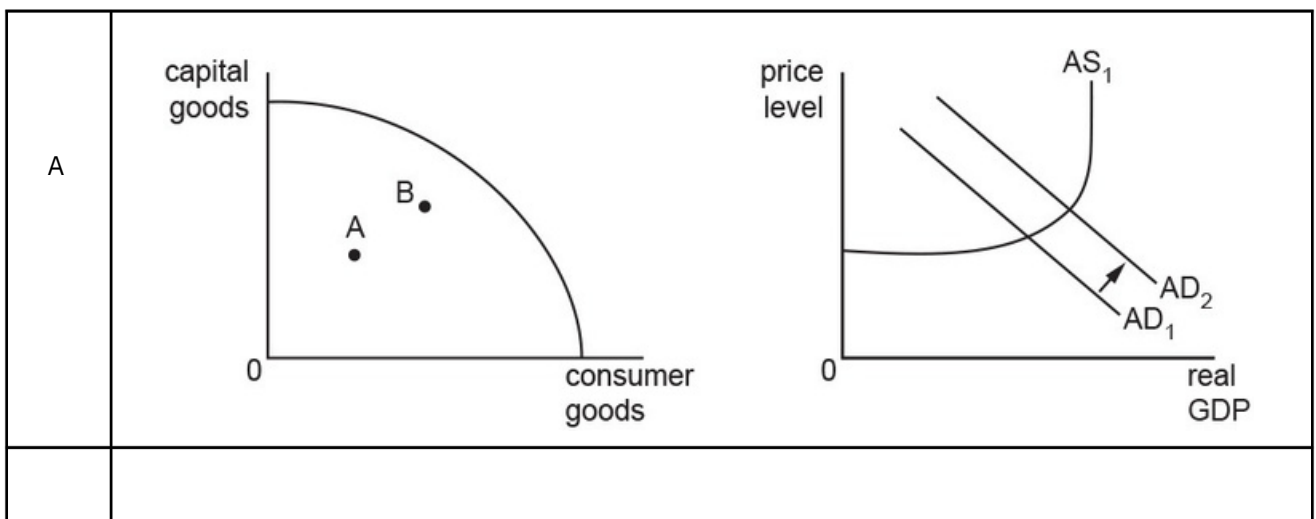


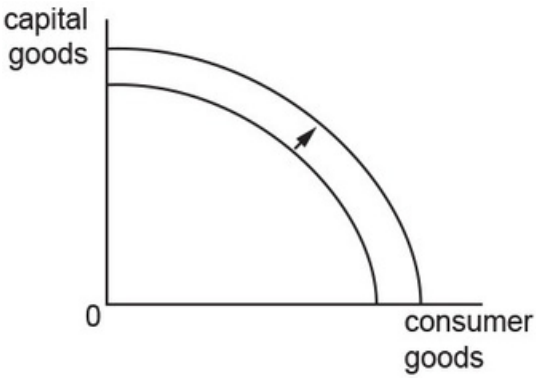
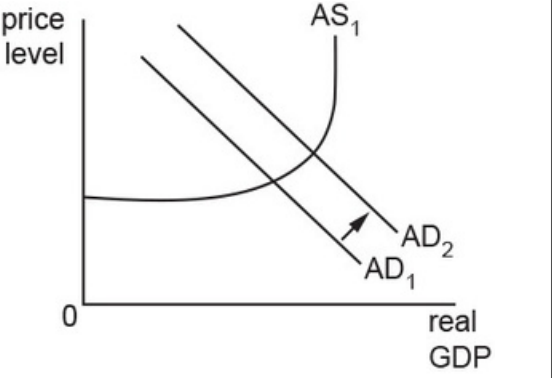
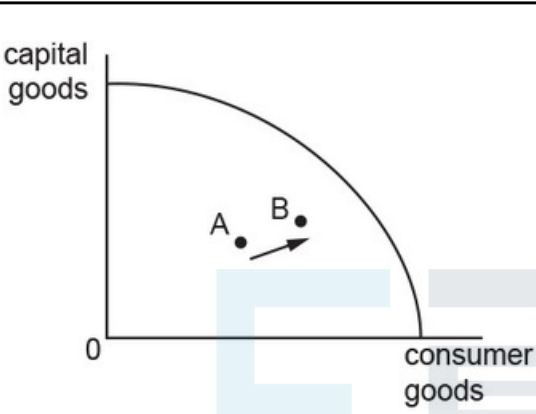
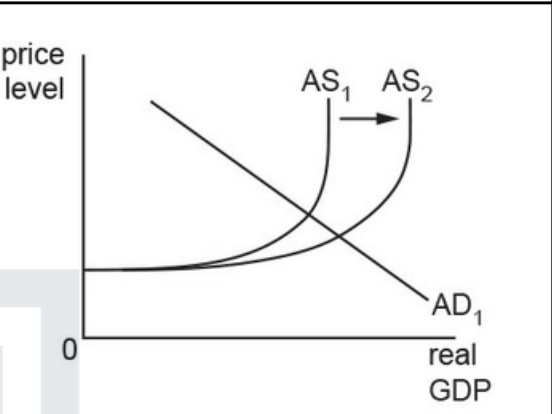
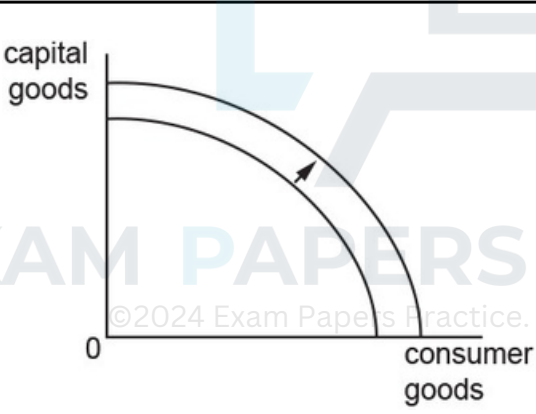
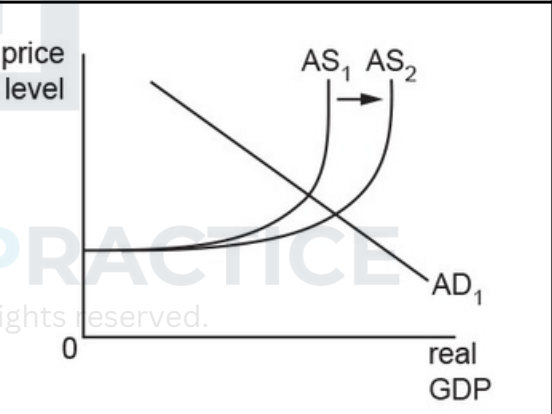
52 * Please refer to insert H460-03 Specimen which can be downloaded separately and is included above with Question 29.

Evaluate the extent to which changes in the structure of an economy will influence its ability to achieve sustainable development.

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53 Which pair of diagrams below illustrates long run economic growth?



B		
C		
D		

Your answer

[1]

54 Which of the following is a harm caused by a high rate of inflation?

- A Imports become relatively more expensive
- B Investment decreases
- C Real wage flexibility occurs
- D The real value of debt increases

Your answer

[1]

55 Which component of the balance of payments accounts for dividends from foreign stocks and shares?

- A Capital account
- B Credit account
- C Current account
- D Financial account

Your answer

[1]

56 In 2016 Argentina experienced negative economic growth, with output falling by 2.3% to \$571.3bn. Population growth was 1% over the same period. Calculate the change in GDP per capita in Argentina between 2015 and 2016 if in 2015 Argentina had a population of 43.42 million people.

- A -\$444
- B -\$440
- C -\$178
- D \$172

Your answer

[1]



57 The data below shows key macroeconomic performance indicators for four countries.

	2016 Inflation Rate (CPI)	2016 Unemployment Rate (ILO)	2015 GDP Growth Rate	2016 GDP Growth Rate
Ireland	0%	8.1%	26.3%	5.2%
Malta	0.6%	5.3%	7.4%	5%
Ukraine	13.9%	8.9%	−9.8%	2.3%
United Kingdom	0.6%	4.8%	2.2%	1.8%

If an economist was judging the performance of these economies from the perspective of the UK government macroeconomic policy objectives, which would they decide performed best?

- A Ireland
- B Malta
- C Ukraine
- D United Kingdom

Your answer

☐

[1]

58 Why might the ILO (International Labour Organisation) unemployment rate overestimate the level of unemployment there is in an economy?

- A Sampling errors may exist in the data
- B Some individuals may be claiming benefits but are not actually willing to work
- C The economically inactive are included
- D There may be underemployment where part-time workers cannot find full-time jobs

Your answer

☐

[1]

- 59 In the 2017 UK General Election, the Conservative Party proposed a reform to social care that would involve individuals whose combined savings and property are valued at more than £100 000 paying for the cost of care they incur in their old age. The likely impact of this would be to reduce the amount of inheritance passed on to future generations. Which of the following would be affected by this in the long run?
- A Both income and wealth inequality
 - B Income inequality only
 - C Neither income or wealth inequality
 - D Wealth inequality only

Your answer

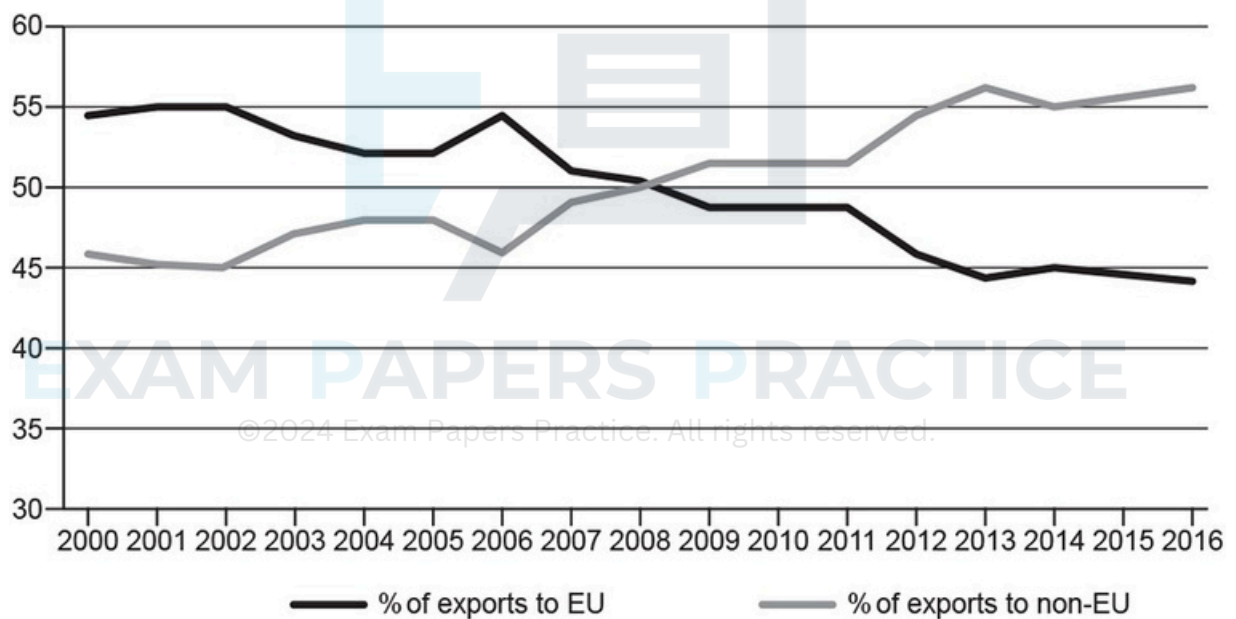
☐

[1]

On 23rd June 2016, 51.9% of voters in the United Kingdom voted in favour of leaving the European Union. The build up to the referendum was characterised by fierce arguments on both sides about the economic impact of European Union membership, with the debate continuing after the vote as the UK government sought to reach an agreed position on how to negotiate the country's withdrawal from the multilateral organisation it joined in 1973.

One of the biggest areas of disagreement was over the impact Brexit would have on the UK's balance of payments. Membership of the EU gives access to the Single Market, the world's biggest free trade area that enables UK firms to export goods tariff free to other EU member states. Trade with countries outside of the EU is determined by a system of common external tariffs, where non-EU firms have to pay a tariff in order to sell into the Single Market with EU firms usually charged a reciprocal tariff to sell to countries outside of the EU. The destination of the UK's exports is outlined in Fig. 1.1.

Fig. 1.1 – Destination of UK Exports



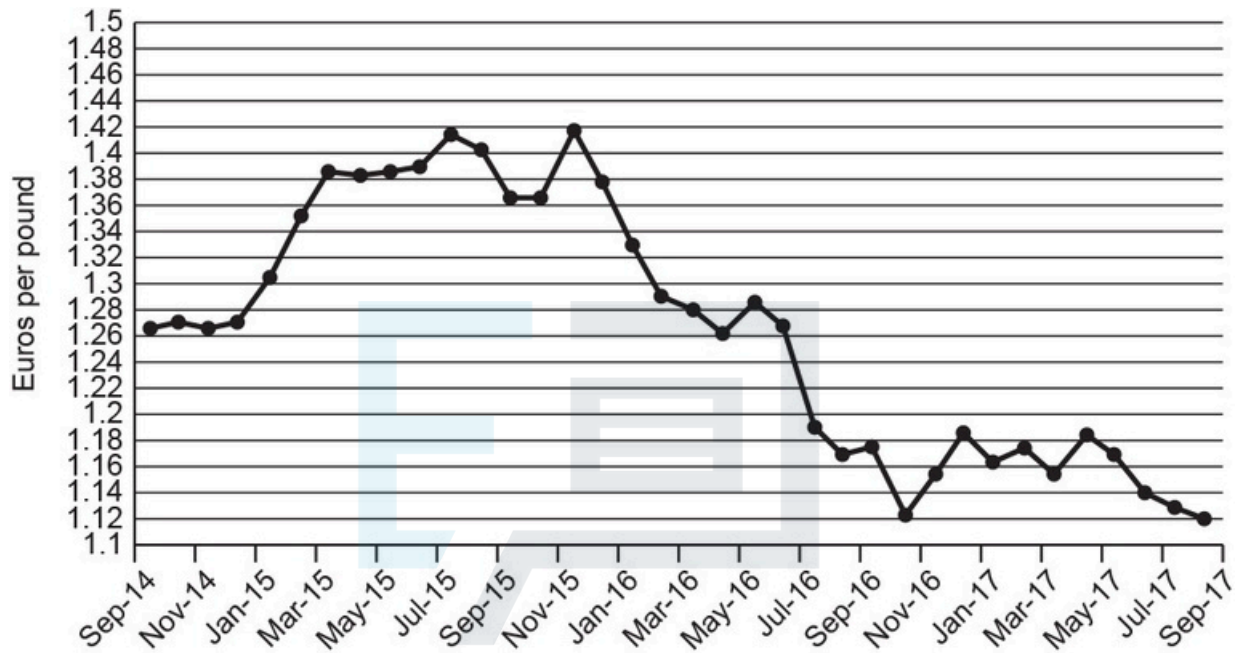
Many economists in favour of remaining in the EU argued that Brexit would fundamentally damage the competitiveness of UK firms, as leaving the Single Market would result in a range of tariff and non-tariff barriers being imposed on UK firms exporting to EU countries. Those in favour of leaving the EU said that this would be outweighed by the gains that would come from negotiating free trade deals with non-EU countries, which would be easier to do once the UK left the trading bloc.

In July 2017, the US government indicated it would be interested in reaching a free trade agreement with the UK. This could have a significant impact on the market for beef. In 2016, approximately two thirds of UK beef imports came from Ireland with no beef imported from the US, despite US beef being priced significantly lower on world markets (approximately £2000 a tonne compared to £3400 for Irish beef). Those in favour of Brexit argue this is a harmful example of trade diversion, with Irish beef being artificially competitive as a result of tariffs exceeding

50% being imposed by the EU on US beef imports. A free trade deal with the US could result in a large proportion of beef imports coming from the US at the expense of Irish producers.

The value of the pound is a crucial determinant of the international competitiveness of UK firms. Fig. 1.2 illustrates the impact the vote to leave the EU had on the exchange rate.

Fig. 1.2 – Sterling-Euro Exchange Rate 2014–2017



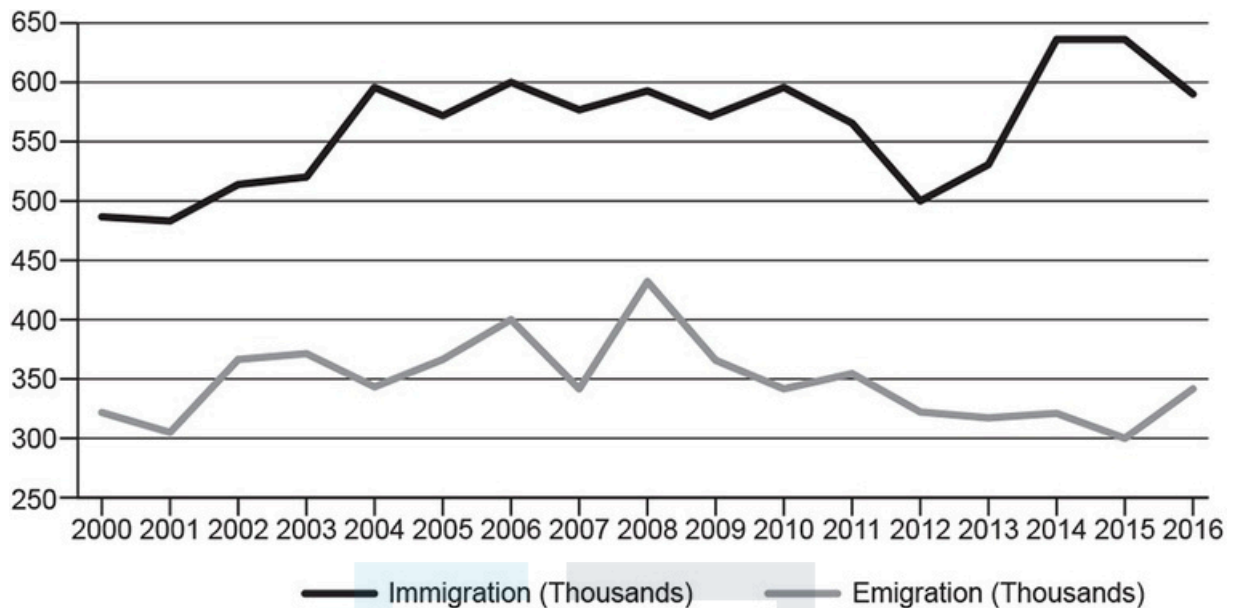
Extract 2 – European Union membership & migration

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The ‘four freedoms’ of the European Union – the freedom of movement of goods, people, services and capital across borders – are a core element of EU membership. In the UK, it was disagreement over the relative merits of the most contentious of these – the free movement of people – that arguably led to the country voting to leave the EU.

The freedom of movement came under sharper focus in 2004, when the EU experienced its largest ever expansion that saw ten new member states join and the population increase by more than 100 million citizens. This resulted in a large influx of immigrants into the UK from individuals attracted by the relatively high wages on offer, with nearly a million workers coming from Poland alone in their first ten years of EU membership. The further expansion of the EU in 2007 to include the low wage countries Bulgaria and Romania fuelled concerns that immigration would spiral in the UK, with much debate over the potential impact of this. Fig. 2.1 illustrates how migration in the UK changed during this period.

Fig. 2.1 – UK Migration 2000–2016



One of the main benefits Leave campaigners argued would result from leaving the European Union was the ability this would give the UK government to take control of its borders. They argued that rising immigration had put increasing pressure on public services, pushed house prices up and depressed the wages and employment opportunities for low skilled workers.

However, many economists argued the end of free movement presented many risks to the prosperity of the UK economy. Empirical evidence suggests that EU immigrants tend to be younger than the native population and more likely to work and pay taxes than claim benefits, in doing so addressing the problems an ageing population could cause the economy. Moreover, a number of industries such as healthcare and construction are reliant on immigrants to fill skills shortages, with immigration allowing the UK to benefit from greater labour market flexibility.

Extract 3 – The Paris Climate Accord

Although enacting the process of leaving the European Union, the UK remained committed to participating in multilateral action of a different kind – combating climate change. It is estimated that, left untackled, climate change would cause around 60 000 deaths globally by 2030 and 260 000 deaths by 2100.

In April 2016, the most ambitious global climate change agreement was reached in Paris, with 195 countries committing to take action to hold the average global temperature to well below 2 degrees centigrade above pre-industrial levels by the end of the century. Each country made their own voluntary pledges to reduce emissions to a specific level by 2020, after which each nation's targets will be re-evaluated.

Nicaragua, one of only two countries that did not sign up to the accord, boycotted it in protest about its unambitious goals. The accord experienced its biggest setback in June 2017, when the US indicated it would be withdrawing from the agreement. Supporters, however, argued that this was a step towards a unified front

against climate change, providing a loose-fitting framework that got the backing of some of the world's biggest polluters whilst leaving each country to develop their own climate change strategies.

One such strategy adopted in parts of the world is a carbon trading scheme. The biggest of these is the European Union's emissions trading scheme (ETS), whilst some countries outside of the EU have adopted more localised schemes. Fig. 3.1 outlines the participation of the world's biggest polluters in the Paris Accord and tradable pollution permit schemes.

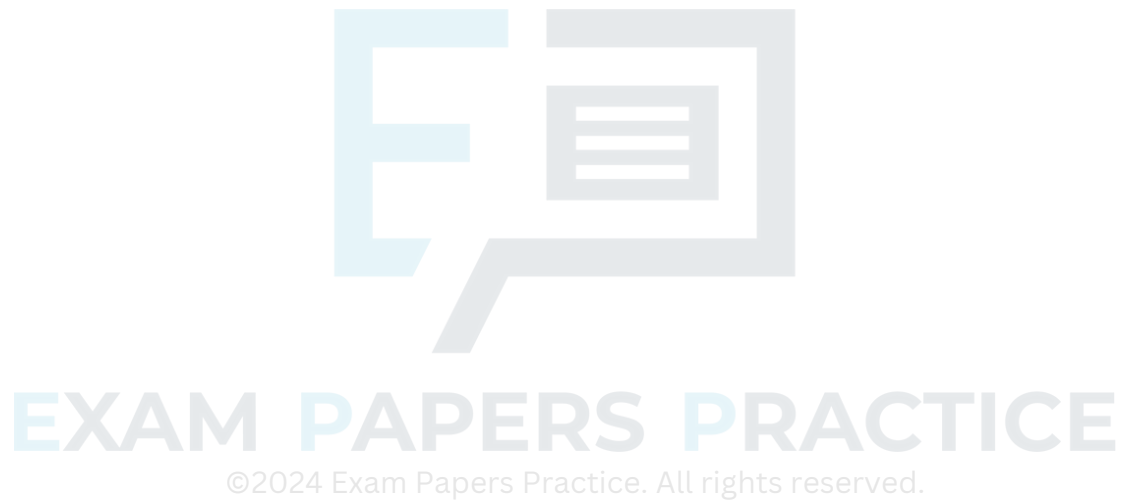
Fig. 3.1 – Global carbon emissions & climate change policy participation

Rank	Country	% of global carbon emissions	Paris Accord?	Carbon Trading Scheme?
1	China	29.51	Yes	Limited
2	United States	14.34	No	Limited
3	India	6.81	Yes	No
4	Russia	4.88	Yes	No
5	Japan	3.47	Yes	Limited
6	Germany	2.16	Yes	Yes
7	Iran	1.76	Yes	No
8	South Korea	1.71	Yes	Yes
9	Canada	1.54	Yes	No
10	Saudi Arabia	1.40	Yes	No
European Union				
		9.62	Yes	Yes

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In July 2017, the UK government announced a plan to outlaw all new diesel and petrol cars by 2040, in doing so eliminating one of the biggest causes of carbon emissions. This is an ambitious target given the electric car market accounted for just 1% of UK market share in 2016. There is though inspiration to be found from Norway, where more than a third of new car sales in 2016 were electric as a result of heavy government subsidies. The UK government has earmarked £900 million to support the electric car industry, with BMW announcing in July 2017 their intention to build the new e-Mini at a UK car plant. The hope is that such subsidies will go a long way in making electric cars price competitive enough to quicken the move away from traditional diesel and petrol cars.

Please refer to insert H460-03 June 2019 which can be downloaded separately and is included above. Using Fig. 1.1 and the information in Extract 1, explain whether the UK's balance of payments is likely to be harmed as a result of the UK leaving the European Single Market.



In the first decade of the twenty-first century China saw a significant increase in both income and wealth. In the current decade, however, its economic growth rate has slowed. At the start of 2016, China's president, Xi Jinping, said that the government would concentrate on supply-side reform. He mentioned that the government would no longer try to promote economic growth by just relying on fiscal and monetary policy measures. It would be placing more emphasis on long-term structural change rates rather than short-term stimulus.

In the past China has used short-term demand management to increase consumer expenditure and investment. This has led to an increase in government spending which has had implications for the country's budget position. Table 1 compares the gross domestic product (GDP), government revenue and government expenditure of the six largest economies in 2014.

Country	GDP	Government revenue	Government expenditure
China	10.4	2.3	2.4
France	2.8	1.5	1.6
Germany	3.9	1.7	1.7
Japan	4.6	1.5	1.8
UK	3.0	0.9	1.1
USA	17.4	3.0	3.5

Table 1 - GDP, government revenue and government expenditure in US\$ trillion of the six largest economies in 2014

The Chinese government is hoping that supply-side policy measures will increase the country's productivity. The UK economy has introduced a number of supply-side policy measures including deregulation, privatisation and tax cuts Fig.1 compares the UK's productivity growth with that of the six other G7 members. It shows after 2007 the gap between the actual growth in productivity and the predicted growth in productivity.

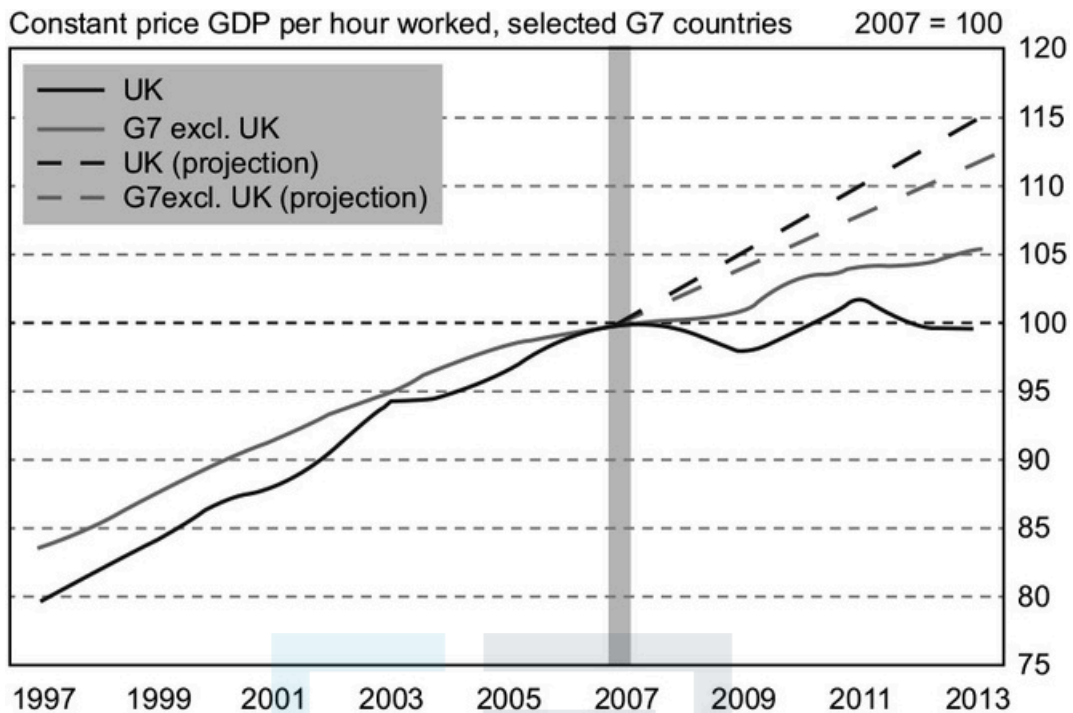


Fig. 1. A comparison of productivity growth in the UK and G7 1997 – 2013

Productivity is influenced by a number of factors including investment. In turn, there are a number of influences on investment including the level of savings. The amount of income saved varies from country to country. Some countries, including China have a relatively high average propensity to save. Others, including Denmark in recent years, have had a negative average propensity to save. Table 2 shows the average propensity to save of the G7 countries in 2014.

Country	Average propensity to save
Canada	0.05
France	0.15
Germany	0.09
Italy	0.05
Japan	0.02
UK	0.06
USA	0.05

Table 2 - The average propensity to save in the G7 countries in 2014

Distinguish between income and wealth.

[2]

- 62 * The Venezuelan Government's attempts to promote economic growth are thought to have contributed to the country's inflation rate, which was predicted to reach 480% in 2016.

Evaluate, with the use of an appropriate diagram(s), whether macroeconomic policy measures can only promote economic growth at the cost of higher inflation.



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63 * In June 2016 Afghanistan joined the World Trade Organisation, becoming its 164th member.

Evaluate whether joining the World Trade Organisation (WTO) would increase a country's economic development.



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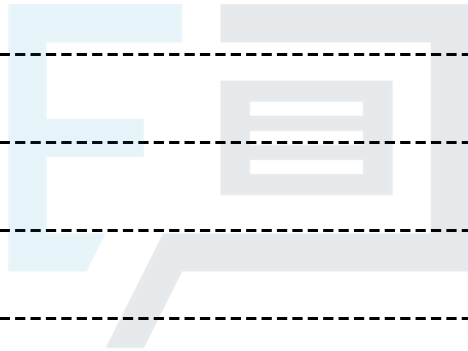


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[25]

- 64 * In 2015 the State Bank of Pakistan did not achieve the 5.5% target the government had set it for the growth of the Pakistani economy.

Evaluate whether the UK government should set the Bank of England an economic growth rate target.

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65(a)

The UK's twin deficits

For some years now the UK has had a deficit on both its budget balance and on the balance of the current account of its balance of payments. In 2015 the budget deficit fell to 4.1% of GDP. This was the lowest deficit, in percentage terms, since 2007 but it was noticeably higher than the historical average of 2.5% of GDP. In October 2016 the Chancellor of the Exchequer announced that he was abandoning the objective of achieving a budget surplus by 2020. He also said he was prepared to borrow for public sector investment in infrastructure.

Changes in the budget position can influence activity in the labour market. Fig. 1 shows the stocks of employment, unemployment, economic inactivity and migration and the flows between them. For instance, the stock of unemployment (the number of people unemployed at any particular time) is affected by flows into and out of unemployment (some people becoming unemployed while others stop being unemployed).

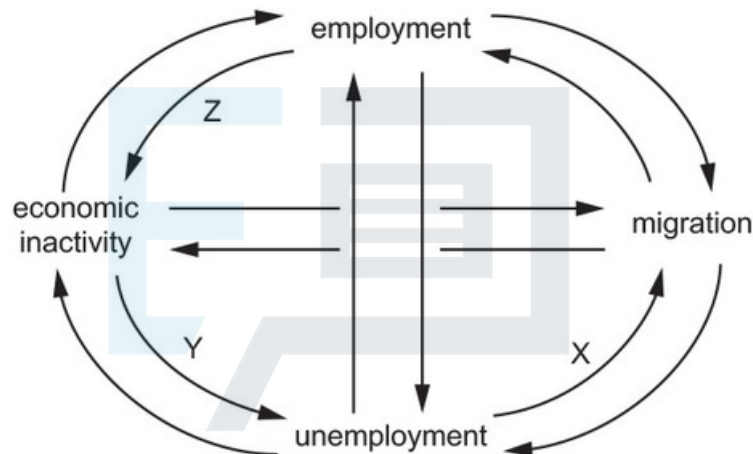


Fig. 1 Stocks and flows in the labour market

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The budget position, in turn, is influenced by a range of factors including the level of economic activity, the rate of interest and any tax reforms undertaken. A number of European countries have recently introduced flat rate tax systems. Fig. 2 shows when a flat tax was introduced in a number of European countries and how the rate of income tax changed due to the introduction and the rate in 2016.

Country	Tax rate(s) before introduction (%)	Year introduced	Initial tax rate after introduction (%)	Tax rate in 2016 (%)
Estonia	16–35	1994	(%)	21
Lithuania	18–33	1994	26	15
Latvia	25–10	1995	33	25
Russia	12–30	2001	25	13
Georgia	12–20	2005	13	20
Macedonia	15–24	2007	12	10
Czech Republic	12–32	2008	12	10

10

Fig. 2 Flat rate taxes on personal income (%) in selected countries

Changes in economic activity at home and abroad, the rate of interest and the exchange rate can also influence the current account position of the balance of payments. In 2015 the UK's current account deficit was £96.2 billion. This was the largest deficit as a percentage of GDP (5.2%) since annual records began in 1948 and the largest of the G7 countries. Fig. 3 shows some details of the UK's balance of payments position in 2014.

Current account balance	–£92.9 bn
Trade in goods	–£123.7 bn
Trade in services	£89.1 bn
Secondary income	–£25.2 bn
Capital account	–£0.8 bn

Fig. 3 Selected details of the UK's balance of payments 2014

The current account deficit has increased every year since 2011. One significant cause of this has been the rise in the deficit on primary income. Throughout the nineteenth century and the first half of the twentieth century the UK invested heavily abroad which resulted in a high yield of profits, interest and dividends. In more recent decades the UK has seen a net inflow of foreign investment. Multinational companies from a range of countries, including the USA, Germany, India and China have entered in a number of UK industries.

Explain one of the flows, X, Y or Z shown in Fig. 1.

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[2]

(b)

(i) Using Fig. 3, calculate the deficit on primary income in the UK in 2014.

----- [2]

(ii) Using Fig. 3, explain whether the financial account would have been in deficit or surplus in the UK in 2014.

----- [2]

(c) Using information from the stimulus material, evaluate whether the UK government should be concerned about the growing deficit on the current account of its balance of payments.

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- 66 * The Venezuelan Government's attempts to promote economic growth are thought to have contributed to the country's inflation rate, which was predicted to reach 480% in 2016.

Evaluate, with the use of an appropriate diagram(s), whether macroeconomic policy measures can only promote economic growth at the cost of higher inflation.



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67 * In June 2016 Afghanistan joined the World Trade Organisation, becoming its 164th member.

Evaluate whether joining the World Trade Organisation (WTO) would increase a country's economic development.

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68 * In 2015 the State Bank of Pakistan did not achieve the 5.5% target the government had set it for the growth of the Pakistani economy.

Evaluate whether the UK government should set the Bank of England an economic growth rate target.

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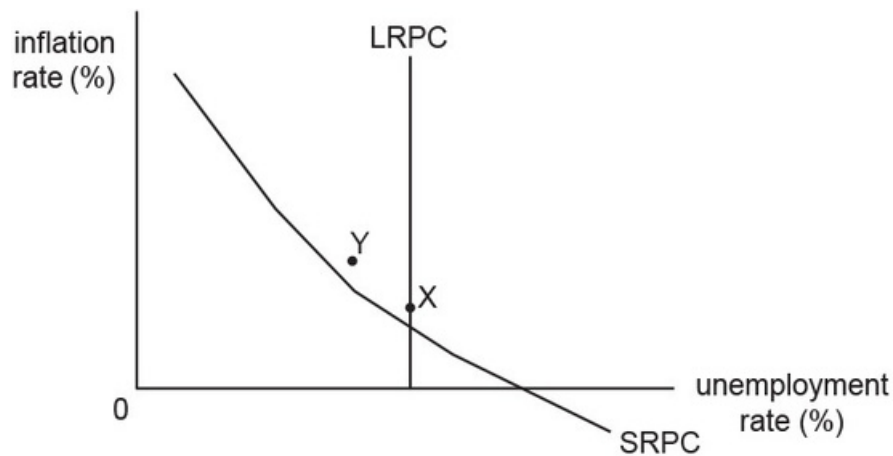
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69 What is the most likely explanation of the movement from X to Y in the diagram below?



- A A decrease in the natural rate of unemployment
- B An adjustment in inflationary expectations
- C Contractionary fiscal policy
- D Money illusion

Your answer

[1]

70 What is most likely to cause a decrease in wealth inequality?

- A A decrease in capital gains tax
- B A decrease in income inequality
- C An increase in house prices
- D An increase in the tax-free inheritance allowance

Your answer

[1]

71 What is a component of the Human Development Index?

- A Air quality
- B GDP per capita
- C Life expectancy
- D Proportion of population with tertiary education

Your answer

[1]





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73(a)

Are low-income countries playing catch up?

The global economy is changing. It is becoming more integrated and China is moving towards becoming the world's largest economy. Lower costs of transport continue to increase the volume of international trade. Producing in different countries and buying products from anywhere in the world are being made easier by advances in communications.

- 5 World trade grew by 4.4% in 2017 and is predicted to grow by 4.7% in 2018. China is accounting for a higher proportion of this global trade and a higher proportion of global output. The country has experienced a significant rise in its GDP per head in recent years. This has had an impact on its citizens' life expectancy. Fig. 1 shows the average income and life expectancy in a number of countries.

Country	GDP per head (\$)	Life expectancy (years)
Bangladesh	4200	73.7
China	16700	75.8
Egypt	12700	73.2
Germany	50800	80.9
Guinea	2200	62.1
Japan	42900	85.5
UK	44300	80.9
USA	59800	80.1

Fig. 1 GDP per head and life expectancy in selected countries 2017

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- 10 Developments in the Chinese economy can be illustrated by both movements in the country's production possibility points and in the position of the production possibility curve as shown in Fig. 2.

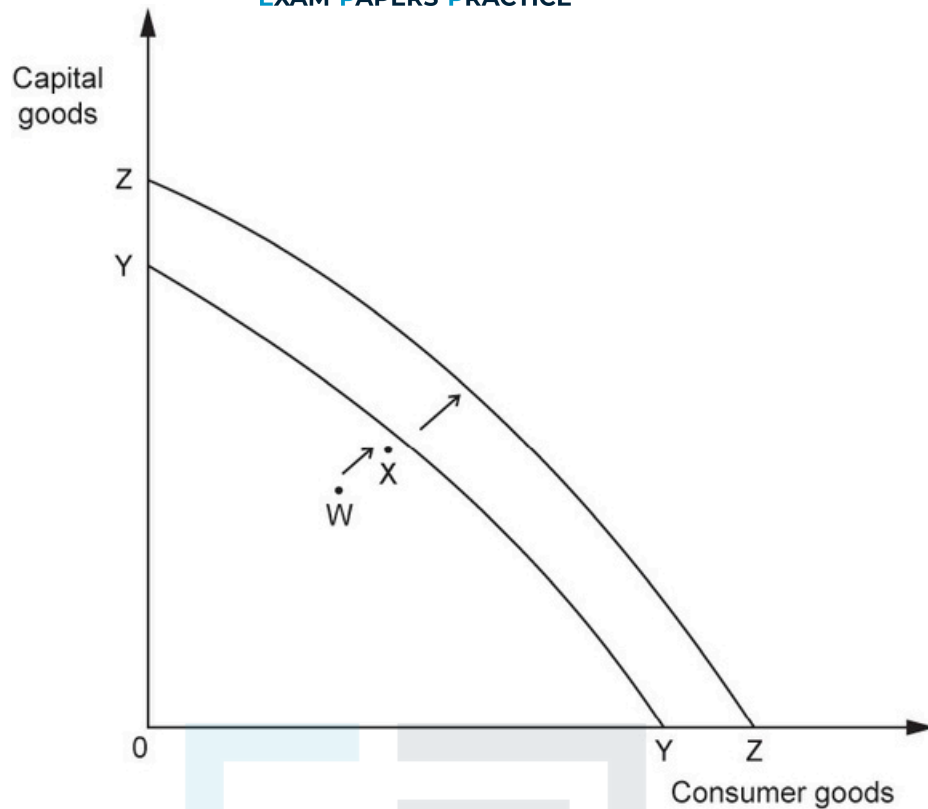


Fig. 2 A country's production possibility curve and points

The Bangladeshi economy has also grown in recent years, but its growth has been more erratic. In 2017, the country's main export destinations were the USA, Germany, UK and France. Its main sources of imports were China, India, Singapore and Japan. In 2017, the value of its exports to the UK was £2251 m while the value of its imports from the UK were £190 m. Bangladesh is also a recipient of UK overseas aid. In 2016, the UK government spent £13.4bn on overseas aid, in line with its target of 0.7% of GDP. Bangladesh was the 11th largest recipient, receiving £170 m. Fig. 3 provides some more information on the Bangladeshi economy.

	\$
Consumer expenditure	billion
Exports	191 50
Government spending	13 76
Investment	68 25
Imports	
Tax revenue	

Fig. 3 Details on the Bangladeshi economy 2017

20 Bangladesh's finance minister suggested in 2017 that he would cut the country's corporate tax

rates as they are much higher than most other countries. He argued that such a move would increase the country's rate of economic growth.

Some economists suggest that low-income countries are likely to grow more rapidly than high-income countries. Fig. 4 shows GDP per head and economic growth rates of a number of countries.

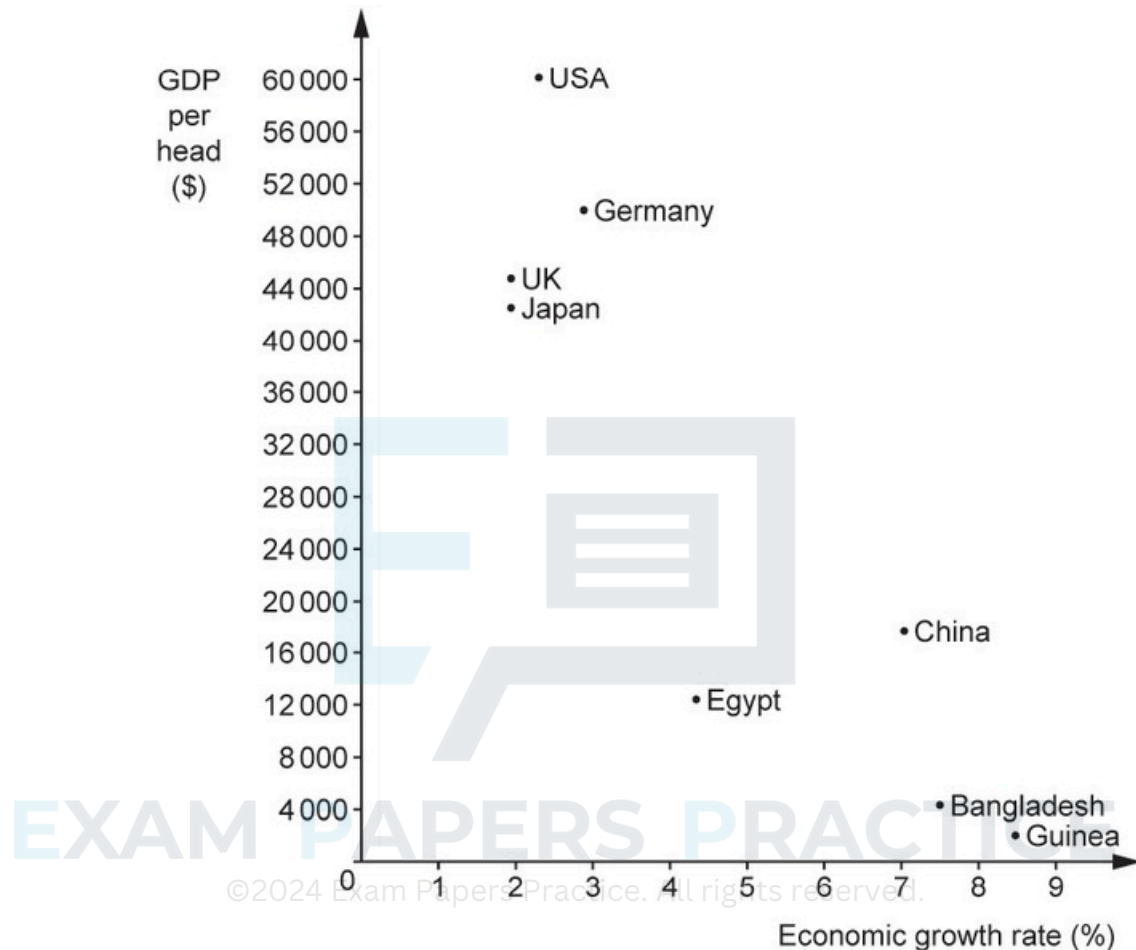


Fig. 4 GDP per head and economic growth rate of selected countries 2017

- 25 People in low-income countries may have a greater incentive to work hard to improve their living standards. Perhaps more significantly, the countries may be able to take advantage of technology transfer from high-income countries and their relatively low wages may attract foreign direct investment. The countries may also have greater potential to reallocate resources from low to high value activities.
- 30 To date, Asian countries have been more successful in narrowing the income gap than African countries. A number of African countries have poor infrastructure, low labour productivity, rapidly growing populations and a lack of economic and political stability.

Please refer to insert H460-02 October 2020 which can be downloaded separately and is included above.



[4]



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[12]

74 In 2018 both Australia and Ireland had a high Human Development Index (HDI), 0.939 and 0.938. They did, however, have different rates of poverty.

Evaluate whether a country with a high HDI is likely to have a low rate of poverty. [25]



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